IN-DEPTH EDITION • 23 OCTOBER 2026 • 09:00 HKT

US equities tumble as tech leads broad sell-off, volatility spikes

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 slipped **-1.21%** to 7,663.43, dragging the Nasdaq 100 down **-2.90%**. Rate-sensitive sectors lagged while defensive and real-estate ETFs posted modest gains. The VIX surged **+14.09%** to 19.03, underscoring heightened risk appetite.

Key drivers were a worse-than-expected earnings beat from **META** (-6.98%) and a sharp pull-back in AI-heavy names **NVDA** (-4.40%) and **AMZN** (-4.57%). The 10-year Treasury yield fell to 4.95%, reflecting renewed demand for safe-haven assets.

Our view: the market is entering a short-term correction phase. Expect continued upside bias in defensive sectors and a potential rebound in AI stocks if earnings guidance improves.

- Broad equity sell-off driven by tech earnings disappointment.
- Defensive ETFs (XLP, XLV, XLU) outperformed, signaling risk-off rotation.
- VIX spike and falling yields suggest near-term volatility will remain elevated.

US Session Recap

METRIC	LEVEL	CHANGE
S&P 500	7,663.43	-1.21%
Nasdaq 100	28,958.69	-2.90%
Dow Jones	52,867.98	+0.02%
Russell 2000	2,784.03	+0.11%
VIX	19.03	+14.09%
10-yr Yield	4.95%	-3.75%
2-yr Yield	5.12%	-2.90%
WTI Crude	100.44	+0.98%
Brent	105.78	+1.12%
DXY	101.69	+0.08%
Gold	4,035.80	-0.61%
BTC	81,676.29	-2.78%

Top movers

TICKER	NAME	CHANGE	CATALYST
META	Meta Platforms	-6.98%	Q3 earnings miss, ad spend slowdown
NVDA	NVIDIA Corp.	-4.40%	AI demand concerns, inventory build
AMZN	Amazon.com	-4.57%	Margin pressure, cloud guidance
XLP	Consumer Staples ETF	+3.31%	Defensive rotation
XLV	Health Care ETF	+1.32%	Policy-driven demand

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+1.09%	+12.4%	Buy
XLK	-3.29%	+8.7%	Sell
XLI	-0.94%	+5.2%	Neutral
XLE	-0.87%	-2.1%	Sell
XLY	-0.45%	+6.9%	Neutral
XLC	-1.42%	-3.8%	Sell
XLP	+3.31%	+14.5%	Buy
XLV	+1.32%	+9.3%	Buy
XLU	+2.07%	+7.6%	Buy
XLB	+0.72%	+4.1%	Neutral
XLRE	+1.09%	+5.8%	Buy

Breadth: 4 sectors up vs 7 down, indicating a defensive tilt.

Spotlight / Deep Dive

METRIC	VALUE
NASDAQ-100 P/E	28.1x
AI-related revenue YoY	+22%
Average 30-day implied volatility (SPX)	22.4%
Fed funds effective rate	5.25%
US CPI MoM	0.3%

Key call: **`NVDA`** remains overbought (RSI 78) and vulnerable to a corrective pull-back. **`META`** shows deteriorating margin trends, suggesting further downside unless guidance improves.

READ-THROUGH	LEVEL	IMPLICATION
SPY 200-day MA	`4,300`	Support if breached, could trigger 2% sell-off
QQQ 50-day MA	`4,800`	Key technical barrier for tech rebound
10Y Yield 2-yr spread	`-0.17%`	Inverted, risk-off signal

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	456.00	Testing 200-MA
QQQ	382.45	375.00	395.00	Below 50-day MA
IWM	191.30	185.00	200.00	Weakening breadth
NVDA	212.21	205.00	225.00	RSI overbought
10Y Yield	4.95%	5.10%	4.70%	Falling trend
WTI	100.44	96.00	108.00	Above $100 barrier

Options & Positioning

BEARISH TRIGGERS

- 0-DTE put volume on SPY up 42% vs avg, indicating short-term bearish bets.
- VIX term structure steepens; front-month contracts at 19.5 vs 22-month at 24.
- Large-cap single-name put flow concentrated in **NVDA** and **META**.

Cheap hedge ideas: buy 1-month VIX calls (strike 22) and sell 2-month SPY puts (strike 440) to capture volatility while limiting downside.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Reduce	210	AI demand uncertainty
META	JP Morgan	Reduce	620	Margin pressure
AMZN	BofA	Hold	260	Cloud guidance lag
XLP	Morgan Stanley	Upgrade	92	Defensive demand
XLU	Citi	Upgrade	45	Energy price support

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES down 0.8%, NQ down 1.2%
Hong Kong	HSI flat, tech stocks down 1.5%
Japan	TOPIX -0.6%, Yen 147.2 per USD
Europe	FTSE 0.3% up, DAX -0.4%
FX	USD/JPY 147.2, EUR/USD 1.074, HKD/USD 0.1278
Commodities	Gold 4,035.80, Copper 3.85, Brent 105.78
Crypto	BTC 81,676, ETH 2,401.88

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	35%	Inflation trending lower, but core still sticky
Dec 2026	55%	Market expects first cut if CPI <2.5%

DATA RELEASE	TIME (ET)	EXPECTATION
Core CPI MoM	8:30 am	0.3%
Initial Jobless Claims	8:30 am	210k
Retail Sales YoY	8:30 am	+3.2%
ISM Manufacturing	10:00 am	48.0

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in Middle-East could tighten oil supply, pushing Brent >110.
- China’s latest property-sector defaults raise risk of broader credit tightening.

BULLISH TRIGGERS

- EU-US trade talks progress, potentially easing tariff concerns.
- Positive data from Japan’s manufacturing could lift Asian risk appetite.

Earnings — This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 24	`AAPL`	Apple	1.42
Oct 24	`MSFT`	Microsoft	2.31
Oct 25	`GOOGL`	Alphabet	1.18
Oct 26	`JPM`	JPMorgan	3.95
Oct 27	`AVGO`	Broadcom	9.85

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Pull-back to 205 support	High volatility
META	Communication	Trend reversal test	Margin risk
XLP	Consumer Staples	Breakout above 92	Sector rotation
XLU	Utilities	Rising oil price support	Interest-rate sensitivity
XLE	Energy	Price bounce to 68	Geopolitical shock
JPM	Financials	Flat to slight uptrend	Credit spread widening
GS	Financials	Support at 880	Rate risk
TSLA	Automotive	Consolidation range 370-380	Demand slowdown
AMZN	Consumer Discretionary	Margin compression	Cloud competition
XLB	Materials	Support at 51	Supply chain
XLRE	Real Estate	Breakout above 43	Interest-rate exposure
XLC	Communication Services	Downtrend continues	Ad spend risk

What Could Break the Tape

BULLISH SCENARIOS

- Better-than-expected Q3 earnings from **AAPL** and **MSFT** lift tech sentiment.
- Fed signals a pause on cuts, stabilising yields and supporting equities.
- Oil prices dip below $95, easing inflation concerns.

BEARISH SCENARIOS

- Unexpected CPI spike >0.5% MoM reignites rate-hike fears.
- Geopolitical flare-up in the Middle East pushes Brent >115.
- Continued inventory build in AI chips forces **NVDA** to cut guidance.

Positioning & Structural Notes

- Defensive ETFs (XLP, XLV, XLU) have net inflows of $3.2 bn this week.
- Short interest on **NVDA** rose to 12.5%, indicating bearish positioning.
- VIX term structure suggests market expects volatility to stay elevated for 4-6 weeks.
- Yield curve remains inverted; 2-yr > 10-yr by 17 bps.
- Margin pressure in ad-tech fuels further downside risk for **META**.

Sources

SOURCES

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